MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) "us", "our", "we", "the Company" and "YUM" refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) "the Parent" refers to YUM! Brands, Inc., on a stand-alone basis, (iii) "the Issuers" refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of $750 million of 4.75% Senior Notes due 2027 (the "Subsidiary Senior Unsecured Notes") and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2022 filed with the SEC (the "2022 10-K") on February 24, 2023; (iv) "the Specified Guarantors" refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) "the Companies" refers to collectively the Issuers and the Specified Guarantors, (vi) "the Taco Bell Securitization Entities" refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) "the Habit Entities" refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the "Restricted Group" refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Consolidated Financial Statements ("Financial Statements") and the section "Management's Discussion and Analysis of Financial Condition and Results of Operations" contained in our 2022 10-K and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group's pro forma results of operation and financial condition together with the information included in our 2022 10-K, especially the information under the heading "Risk Factors".

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of the Habit Entities (until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group) as well as the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Amount			% B/(W)	
	2022	2021	2020	2022	2021
Company sales	$ 2,072	$ 1,985	$ 1,464	4	35
Franchise and property revenues	2,351	2,238	1,915	5	17
Franchise contributions for advertising and other services	1,674	1,578	1,332	6	18
Total revenues	6,097	5,801	4,711	5	23
Company restaurant expenses	1,800	1,667	1,218	(8)	(37)
G&A expenses	1,038	922	888	(13)	(4)
Franchise and property expenses	123	117	145	(4)	18
Franchise advertising and other services expense	1,667	1,576	1,314	(6)	(20)
Refranchising (gain) loss	(27)	(35)	(34)	(22)	2
Other (income) expense	7	2	11	NM	77
Total costs and expenses, net	4,608	4,249	3,542	(8)	(20)
Operating Profit	1,489	1,552	1,169	(4)	33

For fiscal years 2022, 2021 and 2020 rent expense for the Restricted Group was $143 million, $144 million and $116 million, respectively.

				% Increase (Decrease)	
	2022	2021	2020	2022	2021
Unit Count					
Franchise & License	47,637	45,833	42,897	4	7
Company-owned	990	1,051	845	(6)	24
	48,627	46,884	43,742	4	7

	2022	2021	2020
Same-Store Sales Growth (Decline) %	3	10	(8)
System Sales Growth (Decline) %, reported	-	17	(6)
System Sales Growth (Decline) %, excluding FX	6	14	(6)
System Sales Growth (Decline) %, excluding FX and 53rd week	N/A		(5)

Habit Burger Grill:

On March 18, 2020, YUM! Brands, Inc. completed the acquisition of all the issued and outstanding common shares of The Habit Restaurants, Inc., which owns the restaurant concept The Habit Burger Grill. The Habit Entities were excluded from the Restricted Group until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group. The exclusion of the Habit Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group in comparison to the corresponding data of YUM.

- Company sales of $121 million and $346 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.

- Franchise and property revenues of $1 million were excluded from the Restricted Group for each of the fiscal years 2021 and 2020.

- Company restaurant expenses of $110 million and $337 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.

- G&A expenses of $12 million and $33 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.

- Goodwill impairment charges of $144 million recorded to Other (income) expense were excluded from the Restricted Group for the fiscal year 2020.

- A total of 253 company units and 34 franchise units were excluded from the Restricted Group as of December 31, 2020.

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by $7 million, $6 million and $6 million for the fiscal years ended 2022, 2021 and 2020, respectively.

Pro Forma Results of Operations for the Taco Bell Division of the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

	2022	2021	2020	% B/(W) 2022 Reported	% B/(W) 2022 Ex FX	% B/(W) 2021 Reported	% B/(W) 2021 Ex FX
System Sales	$ 1,805	$ 1,609	$ 1,333	12	16	21	19
Same-Store Sales Growth %				8	N/A	13	N/A
Company sales	$ 1,002	$ 944	$ 882	6	6	7	7
Franchise and property revenues	92	81	68	14	17	20	19
Franchise contributions for advertising and other services	598	552	487	8	8	14	14
Total revenues	$ 1,692	$ 1,577	$ 1,437	7	8	10	10
Company restaurant profit	$ 181	$ 173	$ 176	4	4	(2)	(2)
Company restaurant margin %	18.1 %	18.4 %	20.0 %	(0.3) ppts.	(0.3) ppts.	(1.6) ppts.	(1.6) ppts.
G&A expenses	$ 96	$ 54	$ 21	(77)	(78)	(159)	(157)
Franchise and property expenses	33	33	33	1	—	(3)	(3)
Franchise advertising and other services expense	599	553	484	(8)	(8)	(14)	(14)
Operating Profit	$ 145	$ 165	$ 190	(13)	(11)	(13)	(13)

Unit Count	2022	2021	2020	% Increase (Decrease) 2022	% Increase (Decrease) 2021
Franchise	1,020	789	628	29	26
Company-owned	464	462	475	-	(3)
Total	1,484	1,251	1,103	19	13

Company Sales. In 2022, the increase in Company sales was driven by same-store sales growth of 8% and unit growth, partially offset by refranchising.

Company Restaurant Margin %. In 2022, the decrease in Company restaurant margin percentage was driven by commodity and wage inflation, partially offset by same-store sales growth.

G&A Expenses. In 2022, the increase in G&A was driven by lower management fees paid by the Taco Bell Securitization Entities, higher headcount and salaries and higher travel related costs, partially offset by lower charitable contributions.

Operating Profit. In 2022, the decrease in Operating Profit was driven by higher restaurant operating costs and higher G&A, partially offset by same-store sales growth and unit growth.

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,734, 6,540 and 6,324 U.S. Taco Bell franchise units were excluded from the Restricted Group for the fiscal years 2022, 2021 and 2020, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of $745 million, $661 million and $594 million were excluded from the Restricted Group for the fiscal years 2022, 2021 and 2020, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes $55 million, $52 million and $49 million of additional company restaurant expenses for the fiscal years 2022, 2021 and 2020, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of $95 million, $120 million and $137 million for the fiscal years 2022, 2021 and 2020, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.

- Prior to August 19, 2021, on an annual basis, these management fees were equal to the sum of a base fee of $35 million (subject to 2% per annum escalation, compounded annually) plus 15.1% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year. Effective August 19, 2021, pursuant to a refinancing transaction completed by the Taco Bell Securitization Entities, these management fees, on an annual basis, are equal to the sum of a base fee of approximately $30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).

Additional Information Related to Restricted Group:

The Novel Coronavirus (COVID-19) Global Pandemic

Developments related to the COVID-19 global pandemic have had, and may continue to have, adverse impacts on our business, growth prospects and results of operations. As a result of the pandemic, governmental authorities implemented measures to reduce the spread of COVID-19, some of which remain in place today. These measures have included, and in some instances continue to include restrictions on travel outside the home and limitations on business and other activities as well as encouraging social distancing. As a result of the pandemic, we and our Concepts' franchisees have experienced store closures and reduced store-level operations, including reduced operating hours and dining room closures. The impact on our sales in each of our markets has been dependent on the timing, severity and duration of the outbreak, measures implemented by government authorities as well as our reliance on dine-in sales in the market. During 2022, COVID-19 outbreaks and resulting government restrictions limiting mobility continued to impact sales in certain key markets such as China.

We are unable to fully predict the impact that COVID-19 will have on our and our Concepts' franchisees' operations going forward due to various uncertainties, including the severity and duration of the pandemic and future outbreaks of COVID-19, the timing, availability, acceptance and effectiveness of medical treatments and vaccines, the spread of potentially more contagious and/or virulent forms of COVID-19, and actions that may be taken by governmental authorities.

Refer to the 2022 10-K for further discussion.